

**SUBSTITUTE FOR
HOUSE BILL NO. 5497**

A bill to amend 1977 PA 135, entitled
"An act to prohibit certain mortgage lending practices by a credit
granting institution; to prescribe the powers and duties of the
commissioner of the financial institutions bureau in relation to
those practices; to permit the establishment of local mortgage
review boards; and to provide remedies and penalties,"
by amending the title and sections 1 and 2 (MCL 445.1601 and
445.1602), the title and section 2 as amended by 1993 PA 43 and
section 1 as amended by 2012 PA 444.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 TITLE
2 An act to prohibit certain mortgage lending practices by a
3 credit granting institution; to ~~prescribe~~ **provide for** the powers
4 and duties of ~~the commissioner of the financial institutions bureau~~



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~~in relation to those practices;~~ **certain state governmental officers and entities;** to permit the establishment of local mortgage review boards; and to provide remedies and penalties.

Sec. 1. As used in this act:

(a) "Annual percentage rate" means that term as defined in and determined under the truth in lending act, 15 USC 1601 to 1667f.

(b) "Commissioner" means the ~~commissioner of the office of financial and insurance regulation of the department of licensing and regulatory affairs.~~ **director.**

(c) "Consumer Price Index" means the United States Consumer Price Index for all urban consumers as defined and reported by the Bureau of Labor Statistics of the United States Department of Labor.

(d) ~~(e)~~ "Credit granting institution" means a state or nationally chartered bank, a state or federally chartered savings and loan association, a state or federally chartered credit union, the Michigan state housing development authority, or a business entity making or purchasing mortgage loans. ~~, that has a main office, branch office, or service center in the state of Michigan at which it conducts that business.~~

(e) "Department" means the department of insurance and financial services.

(f) "Director" means the director of the department or the director's designee.

(g) ~~(d)~~ "Home improvement loan" means a secured or unsecured loan used for the purpose of repairing, rehabilitating, or remodeling an existing residential dwelling designed for occupancy by 4 or fewer families, as stated by the borrower in the loan application and as recorded on the books of the credit granting



1 institution.

2 **(h)** ~~(e)~~ "Loan application" means a written application for a
3 mortgage loan or home improvement loan.

4 **(i)** ~~(f)~~ "Loan contract" means a contract for a mortgage loan
5 or home improvement loan.

6 **(j)** ~~(g)~~ "Mortgage loan" means a loan secured by a mortgage on
7 real property designed for occupancy by 4 or fewer families,
8 including an individual unit of a condominium or cooperative, a
9 refinancing of an existing mortgage loan on real property designed
10 for occupancy by 4 or fewer families involving an increase in the
11 outstanding balance of the principal due, or a loan secured by a
12 junior lien on real property designed for occupancy by 4 or fewer
13 families undertaken for any purpose. Mortgage loan does not include
14 any of the following:

15 (i) Construction financing.

16 (ii) A purchase of an interest in a pool of mortgage loans.

17 (iii) An extension of the maturity of an existing mortgage loan
18 that does not include an increase in the unpaid principal due.

19 (iv) A loan transaction in which the proceeds are not used
20 primarily for a personal, family, or household purpose.

21 **(k)** ~~(h)~~ "Neighborhood" means either of the following:

22 (i) A census tract as defined by the United States ~~bureau of~~
23 ~~the census~~ **Census Bureau** in **a federal decennial** census, ~~of~~
24 ~~population,~~ if located within a ~~standard~~ metropolitan statistical
25 area as defined by the United States ~~office of management and~~
26 ~~budget.~~ **Office of Management and Budget.**

27 (ii) An area that is designated by a single zip code number
28 under the zoning improvement plan of the United States ~~postal~~
29 ~~service,~~ **Postal Service**, if located outside a ~~standard~~ metropolitan



1 statistical area as defined by the United States ~~office of~~
 2 ~~management and budget.~~ **Office of Management and Budget.**

3 Sec. 2. (1) Except on the basis of written policies or
 4 criteria uniformly applied to all neighborhoods within a particular
 5 ~~standard metropolitan statistical area or within the county in~~
 6 areas outside a ~~standard metropolitan statistical area~~, a credit
 7 granting institution shall not deny a loan application or vary the
 8 interest rate, the term to maturity, the percentage required for a
 9 down payment, the application and appraisal procedures, or other
 10 terms or conditions of a loan contract for either of the following:

11 (a) Due to racial or ethnic characteristics or trends in the
 12 neighborhood in which the real estate is located.

13 (b) Due to the age of the structure on the real estate
 14 proposed as security or the age of other structures in the
 15 neighborhood in which the real estate is located. This subdivision
 16 does not preclude a credit granting institution from considering
 17 the physical condition and probable remaining useful life of the
 18 structure and all structures within a radius of 750 feet.

19 (2) A policy or criteria used by a credit granting institution
 20 is considered to be uniformly applied, even if a credit granting
 21 institution grants exceptions to the policy or criteria in favor of
 22 a loan applicant in not more than 5% of the loan applications
 23 submitted to the credit granting institution.

24 (3) ~~Each loan application shall be individually considered.~~ **A**
 25 **credit granting institution shall individually consider each loan**
 26 **application** on the basis of a factually supportable analysis of the
 27 lending risks associated with the proposed loan.

28 (4) A credit granting institution shall not impose a minimum
 29 mortgage amount greater than ~~\$10,000.00,~~ **\$50,000.00**, and a credit



1 granting institution shall not impose a minimum loan amount of
 2 greater than ~~\$1,000.00~~ **\$5,000.00** for a home improvement loan.
 3 **Beginning January 1, 2032, and by January 1 of every fifth year**
 4 **thereafter, the director shall adjust each of the minimum dollar**
 5 **amounts described in this subsection by an amount determined by the**
 6 **state treasurer to reflect the cumulative percentage change in the**
 7 **Consumer Price Index over the 5-year period ending on June 1 of the**
 8 **immediately preceding calendar year, rounded to the nearest**
 9 **multiple of \$10.00.**

10 (5) A credit granting institution shall not deny an individual
 11 an opportunity to submit a loan application. This act ~~shall~~ **must**
 12 not be construed to require a credit union to allow **a** loan inquiry
 13 or application by a person ~~who~~ **that** is not a member or eligible to
 14 be a member of the credit union.

15 (6) A **credit granting institution shall provide a** person ~~who~~
 16 **that** makes a loan application for a mortgage loan or home
 17 improvement loan that is denied or the terms of which are varied
 18 and not accepted by the applicant ~~shall receive from the credit~~
 19 ~~granting institution~~ **with** a written statement of the reasons for
 20 the rejection or variation of terms. A credit granting institution
 21 that complies with the requirements of the equal credit opportunity
 22 act, ~~title VII of Public Law 90-321, 15 U.S.C. 15 USC~~ 1691 to
 23 1691f, and the regulations promulgated under that act, is
 24 considered to have complied with the requirements of this
 25 subsection.

26 (7) A credit granting institution, unless otherwise prohibited
 27 by law, may charge an application fee uniform as to type of loan.
 28 If a credit granting institution includes **an** appraisal in its
 29 written statement of reasons for rejection or variance or collects



1 an application appraisal fee, then upon the request of a person
 2 making a loan application that is denied or the terms of which are
 3 varied and not accepted by the applicant, a credit granting
 4 institution shall provide the person, without additional charge,
 5 with a copy of the appraisal made in connection with the loan
 6 application. If an application appraisal fee is not collected, the
 7 copy may be made usable only for purposes related to this act.

8 ~~Copies~~ **A credit granting institution shall provide copies** of other
 9 completed forms, reports, and correspondence, except a credit
 10 report or correspondence pertaining to a credit report, used by the
 11 credit granting institution in reaching its decision, ~~shall be~~
 12 ~~provided,~~ on request and without charge, to a person making a loan
 13 application that is denied or the terms of which are varied and not
 14 accepted by the applicant.

15 (8) Except for an error or omission that is a violation of
 16 this act, a credit granting institution is not liable to an
 17 applicant or any other person for an error or omission in an
 18 appraisal or other supporting documents made available to an
 19 applicant.

20 (9) If a person makes a loan inquiry relating to the prospects
 21 of obtaining a loan, the credit granting institution shall respond
 22 to the inquiry and shall send or cause to be delivered to the
 23 person making the inquiry a copy of the pamphlet or other documents
 24 prepared ~~pursuant to~~ **in accordance with** subsection (10).

25 (10) Each credit granting institution shall make available for
 26 public distribution at the institution's principal office and each
 27 branch office or service center a pamphlet or document explaining
 28 in general terms the credit granting institution's criteria for the
 29 approval or denial of a loan application. The pamphlet or other



1 document ~~shall~~**must** prominently state that a person has the right
2 to make a loan inquiry and to file a written application for a
3 mortgage loan or home improvement loan and to receive a written
4 response to the application. A credit granting institution may use
5 a separate pamphlet or document for mortgage loans and home
6 improvement loans, and the pamphlet or document may contain
7 additional material as well as the material required by this
8 subsection. A **credit granting institution must file a** copy of the
9 pamphlet or other document ~~shall be filed~~ with the
10 ~~commissioner.~~**department.**